



THE TAJ HOTEL,
SYMBOL OF INDIA'S
ECONOMIC PROSPERITY,
CAUGHT IN
TERROR CROSSFIRE

economy or the capital markets.

What they worry is that prospects of sectors like tourism and hotels could further worsen. Tourism is now virtually certain to fall short of its goal of achieving a 20 per cent growth in tourist arrivals this year. India gets 5.08 million foreign tourists compared to 13 million in Thailand. Now India may be lucky to manage with just 4-5 per cent growth. According to Nakul Anand, CEO, ITC Welcomgroup, travel, both business and leisure, were down 30-40 per cent across India in the last five days and 50 per cent in Mumbai. Says Subhash Goel, chairman, STIC Travel Group: "The hotel industry is willing to reduce the tariff by 20-25 per cent and focus on domestic tourism to survive." Aviation is no better off either, with airlines reporting a 15-20 per cent dip in traffic, says Ankur Bhatia, executive director, Bird Group and managing director, Amadeus India.

The fear extends beyond tourism and aviation. Companies which have been seeking protection for their plants based on the coast or in Naxal-hit hinterlands have intensified their efforts to get protection. They will also have to shell out higher premiums now with the Insurance Regulatory Development Authority in favour of an almost 50 per cent hike in the rates for providing insurance cover, to be paid from the common terrorism pool of Rs 1,200 crore.

There will also be added costs in the screening of employees. Some like Deepankar Salwanka, head of forensic services, KPMG, see this as positive. According to him, so far only the IT companies have been conscious of this need but now that professionals are masterminding terror attacks, companies in healthcare and real estate too have become sensitised on more stringent checks. Spicejet carries out a detailed reference check as part of the hiring process, says its CEO Sanjay Aggarwal while Raman Roy's Quattro

MUMBAI WILL RECOVER BUT THE FEAR GENERATED BY THE ATTACKS COULD HURT THE INVESTMENT CLIMATE BADLY.

financial crisis that is already slowing down Indian businesses. Overseas investors have already pulled out a record \$13.5 billion from Indian stocks in 2008 as of November 25 after buying a record \$17.2 billion of local equities in 2007, despite hardpeddling of the India growth story. There are contrarians, but few and far between. Edelweiss Capital analysts do not see any long term impact of the terrorist attacks on the

BPO hires only through the NASSCOM registry which tracks employment history.

Obviously, a lot more needs to be done to secure the business environment. FICCI President Rajeev Chandrasekhar says the priority should be a separate law for terrorists which has been withdrawn, and a stronger leadership to deal with terror. Clearly, it's up to the industry and the Government to tango on tackling terror. ■